

Superstores Sales -Business Summary Report

Task 2| Business Performance Analysis

Executive Summary

Superstores achieved *\$2.30 million in total sales* and *\$286.41K in profit, resulting in an overall **profit margin of 12.47%*. The business demonstrates strong revenue generation, but the margin indicates opportunities to improve cost control, pricing, and product profitability.

Sales show significant seasonality, with weaker performance in the first quarter and strong growth toward the end of the year. *November recorded the highest monthly sales at \$0.35M, while **February was the weakest at \$0.06M*. This nearly six-fold difference highlights the business's dependence on seasonal demand.

Regional Performance

The *West region* is the strongest contributor, generating *\$0.73M* in sales, followed by *East at \$0.68M. Central generated *\$0.50M*, while South was the weakest region at *\$0.39M**.

The performance gap indicates significant growth potential in the *Central and South regions*. Improving regional marketing, distribution, sales coverage, and customer acquisition could help these markets contribute more effectively to overall growth.

Category Performance

Technology is the strongest profit-generating category, contributing approximately *\$145K, followed by **Office Supplies at \$122K. **Furniture, however, generated only *\$18K**, making it the weakest category by a significant margin.

Furniture profitability should be reviewed carefully, particularly its pricing, discount levels, shipping costs, supplier expenses, and inventory turnover. Improving the profitability of this category could have a meaningful impact on the company's overall margin.

Customer & Segment Analysis

Superstores has *793 customers, generating an average of approximately *\$2,900 in sales per customer*. The top 10 customers generated approximately *\$153.8K*, representing around **6.7% of total sales*.

Sean Miller is the largest customer, followed by *Tamara Chand* and *Raymond Buch*. Maintaining strong relationships with these high-value customers is important to reduce revenue concentration and retention risk.

The *Consumer segment* is the largest contributor, generating approximately *\$1.16M, or about half of total sales. Corporate contributes *\$0.71M*, while Home Office contributes *\$0.43M**. Consumer should remain a key focus, while Home Office presents an opportunity for further expansion.

Key Recommendations

1. *Improve Furniture profitability: * Review discounts, pricing, supplier costs, and logistics expenses.
2. *Expand Central and South: * Increase localized promotions, customer acquisition, and sales coverage in these regions.
3. *Reduce seasonality: * Introduce promotions, loyalty programs, and bundled offers during January and February.
4. *Protect key customers: * Develop dedicated account management and loyalty programs for high-value customers.
5. *Grow Home Office: * Target businesses and remote/hybrid workers with relevant products and promotional campaigns.
6. *Improve margin discipline: * Review company-wide discounting and pricing policies to increase profitability without relying only on higher sales.

Conclusion

Overall, Superstores has a *strong revenue base and healthy profitability, but performance is uneven across regions, categories, customers, and months. Technology and Consumer remain the major strengths, while Furniture, Central/South regions, and low-season months require greater attention. By improving Furniture margins, expanding weaker regions, reducing seasonality, and strengthening key customer relationships, Superstores can achieve **more consistent sales growth and higher overall profitability*